

Anthony Rudge, et al. v. Kristopher Lyon, M.D., et al., 26CV0368

Hearing: Demurrer

Date: September 24, 2026

TENTATIVE RULING

Anthony Rudge (Rudge) is employed by the City of San Luis Obispo (City). He and the union that represents City employees, San Luis Obispo City Employees' Association (SLOCEA), are suing Kristopher Lyon, M.D. & Rachel May, M.D., a Medical Corporation dba Med Stop Urgent Care Center (Med Stop) for damages incurred due to a false positive alcohol screening Med Stop conducted on Rudge. Rudge and SLOCEA (collectively, Plaintiffs) allege that Med Stop was negligent in conducting the screening. Plaintiffs allege Rudge's employment was nearly terminated, Rudge continues to suffer reputational damage, and Rudge and SLOCEA spent resources defending Rudge and proving the screening was inaccurate. (Complaint, ¶¶ 25-27.)

Before the Court is Med Stop's demurrer. Med Stop asserts the following four grounds for demurrer:

- (1) SLOCEA lacks standing to assert the negligence claim;
- (2) The Negligence Cause of Action is not pled with sufficient specificity;
- (3) The Unfair Competition Law (UCL) cause of action fails to state an underlying violation and seeks monetary damages;
- (4) Plaintiffs have failed to join City, an indispensable party.

Plaintiffs oppose the demurrer asserting that the complaint adequately alleges facts supporting all the causes of action and requested relief.

A demurrer tests the legal sufficiency of the allegations in a complaint. It raises issues of law, not fact, regarding the complaint's form or content. (Code Civ. Proc., §§ 422.10, 589; *Donabedian v. Mercury Ins. Co.* (2004) 116 Cal.App.4th 968, 994; *Lewis v. Safeway* (2015) 235 Cal.App.4th 385, 388.) A demurrer "admits the truth of all material factual allegations in the complaint...the question of plaintiff's ability to prove these allegations, or the possible difficulty in making such proof, does not concern the reviewing court." (*Alcorn v. Anbro Engineering, Inc.* (1970) 2 Cal.3d 493, 496.)

"To survive a demurrer, the complaint need only allege facts sufficient to state a cause of action; each evidentiary fact that might eventually form part of the plaintiff's proof need not be alleged." (*C.A. v. William S. Hart Union High School Dist.* (2012) 53 Cal.4th 861, 872.) When reviewing a demurrer, a court must draw all reasonable inferences in favor of the plaintiff. (*Perez v. Golden Empire Transit Dist.* (2012) 209 Cal.App.4th 1228, 1239). Moreover, "[t]he facts alleged in the pleading are deemed to be true, however improbable they may be." (*Berg & Berg Enterprises, LLC v. Boyle* (2009) 178 Cal.App.4th 1020, 1034.)

1. Standing

Med Stop argues that SLOCEA lacks standing because it “alleges no duty owed by Defendants to SLOCEA, and no legally cognizable tort injury to SLOCEA, independent of Plaintiff Rudge’s alleged injury.” (Demurrer, p. 8, lns. 9-12.) SLOCEA counters that a union has standing to assert the claims of its members even where it has suffered no injury from the challenged activity. (Opposition, p. 3, lns. 20-23.)

A labor union has standing to bring claims where (a) its members would otherwise have standing to sue in their own right; (b) the interests it seeks to protect are germane to the organization’s purpose; and (c) neither the claim asserted nor the relief requested requires the participation of individual members in the lawsuit.” (*Brotherhood of Teamsters & Auto Truck Drivers v. Unemployment Insurance Appeals Board* (1987) 190 Cal.App.3d 1515, 1522. When there is no allegation that any right of the union has been violated and an injured employee is a party pursuing the claim the union is an unnecessary party and fails to state a cause of action. (*International Union of United Automobile etc. Workers v. Department of Human Resources Development* (1976) 58 Cal.App.3d 924, 935.)

While SLOCEA alleges it “supported Plaintiff Rudge’s defense of these proceedings by paying for legal counsel and some costs throughout the process” (Complaint, ¶ 25), the Complaint further alleges, “Plaintiff Rudge is contractually obligated to reimburse Plaintiff SLOCEA for fees and costs upon recovery from Defendant.” (Complaint, ¶ 26.) To the extent SLOCEA suffered a direct loss in paying to defend Rudge, the Complaint alleges that Rudge, rather than SLOCEA, is obligated to recover damages from Med Stop.

While SLOCEA may have standing to pursue other claims to protect its members from mandatory testing by Med Stop, the only two causes of action in the Complaint, i.e., negligence and violation of UCL, are based on injury to Rudge and are being pursued by Rudge. SLOCEA lacks standing to pursue those claims.

2. Negligence

Med Stop argues that City’s conduct is an intervening cause of damage to Rudge and the allegations are therefore insufficient to state a negligence claim. (Demurrer, p. 9, lns. 2-20.) Med Stop cites no legal authority holding that an intervening cause is a ground for demurrer. “In general, if the risk of injury is reasonably foreseeable, the defendant is liable. An independent intervening act is a superseding cause relieving the actor of liability for his negligence only if the intervening act is highly unusual or extraordinary and hence not reasonably foreseeable. [Citations.] Reasonable foreseeability in this context is a question for the trier of fact.” (*Green v. Healthcare Services, Inc.* (2021) 68 Cal.App.5th 407, 416.) “[S]uperseding cause **is an affirmative defense** to be proven by the defendant.” (*Id.* at 415 [emphasis added].)

The Complaint alleges specific facts as to Med Stop’s negligent conduct in administering multiple tests in an inappropriate environment that did not follow test manufacturer’s instructions.

(Complaint, ¶¶ 13-22.) The Complaint further alleges, “[d]ue to Defendant’s negligently administering the alcohol screenings yielding a false positive test, the City undertook proceedings to terminate Plaintiff Rudge.” (Complaint, ¶ 25.) The Complaint alleges sufficient facts showing causation. Med Stop is free to assert intervening causes or any other defense it sees fit, but the defense is not a basis for demurrer.

Med Stop’s contention that specific allegations are too conclusory lacks merit. Only “ultimate facts,” those upon which liability depends, must be pled. (See, e.g., *C.A. v. William S. Hart Union High School Dist.* (2012) 53 Cal.4th 861, 872.) A pleading need only allege the essential facts of a claim with particularity sufficient to put the opposing party on notice of the nature, source and extent of the claim. (*Foster v. Sexton* (2021) 61 Cal.App.5th 998, 1019-1020.)

An “ultimate fact” differs from “evidentiary facts.” (*Id.* at 1019.) The difference between “ultimate facts,” “evidentiary facts” and “legal conclusions” has been explained as follows:

Example: A complaint in a personal injury case alleges that: (1) defendant drove his car immediately after having consumed a fifth of vodka; (2) defendant drove while under the influence of alcohol; and (3) defendant drove in violation of California drunk driving law. Allegation “(1)” is technically objectionable as “evidentiary” matter; “(3)” is a “legal conclusion”; while “(2)” is the ultimate fact.

(Weil & Brown, Cal. Practice Guide: Civ. Proc. Before Trial, Pleadings (The Rutter Group 2025 Update) ¶ 6:125.)

The elements of a negligence claim are that defendant had a duty to use due care, it breached that duty, and the breach was the proximate or legal cause of the resulting injury. (*Lawson v. Superior Court* (2010) 180 Cal.App.4th 1372, 1389.) Plaintiff alleges as follows:

33. Defendants owed Plaintiff Rudge a duty to administer the alcohol screenings like a reasonably prudent drug and alcohol screening provider.

34. Defendants breached this duty and acted with gross negligence in doing the following:

- a. Failing to document the two negative tests;
- b. Omitting from the screening records that were produced the names of the technicians;
- c. Falsely stating in the screening records the products administered were “Alere” or “ALCO,” when they were supposedly a third type of screening manufactured by Orasure. These different types of screenings have different manufacturers’ instructions and are administered using different procedures.
- d. The screening records do not accurately record the lot numbers for the Orasure tests.

e. The testing times listed on the screening records indicate the positive tests were administered one minute apart, but the Orasure tests Defendant claims were actually administered require 2.5 minutes to complete and no two tests were going at the same time. Either the screening records inaccurately recorded the time of the screening or Defendants' technicians did not follow the manufacturer's instructions regarding administering the tests.

....

35. As a result of Defendants' negligence, Plaintiffs sustained reasonably foreseeable damages including lost wages, legal fees and costs for the pre-disciplinary termination proceeding, reputational harm, and emotional distress. Defendants' negligence was the legal and proximate cause of Plaintiffs' damages.

(Complaint, ¶¶ 33-35.) The Complaint sufficiently alleges a negligence cause of action.

3. Unfair Competition Law

The Unfair Competition Law, Business and Professions Code sections 17200, et seq. (UCL), defines unfair competition to include "any unlawful, unfair or fraudulent business act or practice." (Bus. & Prof. Code § 17200.) Thus, violations of other laws may be treated as unfair competition that is independently actionable. (*Shersher v. Superior Court* (2007) 154 Cal.App.4th 1491, 1476.) Unfair and deceptive practices are actionable under the UCL even if they do not violate some other law. (*Scripps Clinic v. Superior Court* (2003) 108 Cal.App.4th 917, 938.) The remedies afforded private plaintiffs under the UCL are limited to injunctive relief and restitution. (*Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1150.)

The Complaint alleges, "Defendants' use of untrained personnel, failure to follow manufacturer requirements, using expired screening kits, and failing to maintain accurate screening records for its employment-based alcohol screenings are unlawful, unfair, and fraudulent business practices." (Complaint, ¶ 37.) There are no allegations asserting a law that was violated or a fraudulent statement made. The allegation may, however, state an "unfair" business practice. (See, *Naranjo v. Doctors Medical Center of Modesto, Inc.* (2025) 111 Cal.App.5th 408, 437 ["unfair" conduct is immoral, unethical, oppressive, unscrupulous, or substantially injurious to consumers, and the practice's impact on the victim outweighs the reasons, justifications, and motives of the alleged wrongdoer].)

In addition to arguing lack of particularity, Defendant contends Plaintiffs' UCL claim fails to state a cause of action because it seeks monetary damages rather than restitution. (Demurrer, p. 13, lns. 6-8.) The Court agrees. Even if Med Stop's alleged misconduct constitutes an unfair business practice, the UCL only allows for relief "necessary to restore to any person in interest any money or property, real or personal, which may have been acquired by means of such unfair competition." (Bus. & Prof. Code § 17203.) There are no allegations that Med Stop acquired any money or property from Rudge or SLOCEA by use of unfair competition. The Complaint does not allege a basis for restitution and does not pray for injunctive relief. Thus, it does not state a UCL claim.

4. Necessary Party

Code of Civil Procedure section 389 governs the joinder of necessary and indispensable parties as follows:

(a) A person who is subject to service of process and whose joinder will not deprive the court of jurisdiction over the subject matter of the action shall be joined as a party in the action if (1) in his absence complete relief cannot be accorded among those already parties or (2) he claims an interest relating to the subject of the action and is so situated that the disposition of the action in his absence may (i) as a practical matter impair or impede his ability to protect that interest or (ii) leave any of the persons already parties subject to a substantial risk of incurring double, multiple, or otherwise inconsistent obligations by reason of his claimed interest. If he has not been so joined, the court shall order that he be made a party.

(b) If a person as described in paragraph (1) or (2) of subdivision (a) cannot be made a party, the court shall determine whether in equity and good conscience the action should proceed among the parties before it, or should be dismissed without prejudice, the absent person being thus regarded as indispensable. The factors to be considered by the court include: (1) to what extent a judgment rendered in the person's absence might be prejudicial to him or those already parties; (2) the extent to which, by protective provisions in the judgment, by the shaping of relief, or other measures, the prejudice can be lessened or avoided; (3) whether a judgment rendered in the person's absence will be adequate; (4) whether the plaintiff or cross-complainant will have an adequate remedy if the action is dismissed for nonjoinder.

Med Stop argues that complete relief cannot be afforded unless City is joined as a defendant, relying on its contention that City's decisions regarding Rudge's employment caused the alleged damages. While California's contributory negligence doctrine applies to "each tortfeasor whose negligence is a proximate cause of an indivisible injury" (*Shuler v. Cap. Agric. Prop. Servs., Inc.* (2020) 49 Cal.App.5th 62, 67 [citation omitted]), contributory liability may be allocated to a nonparty. (See, Judicial Council of California Civil Jury Instructions (CACI) No. 406; *Dafonte v. Up-Right* (1992) 2 Cal.4th 593, 603 [nonparties subject to an allocation of fault include "the universe of tortfeasors who are not present at trial, including defendants who settled before trial and nonjoined alleged tortfeasors."].) Further, "[t]he Code of Civil Procedure allows a tort defendant to seek indemnity by filing a cross-complaint to allege '[a]ny cause of action he has against a person alleged to be liable thereon, whether or not such person is already a party to the action....' (Code Civ. Proc., § 428.10, subd. (b).)" (*William L. Lyon & Assocs., Inc. v. Superior Ct.* (2012) 204 Cal.App.4th 1294, 1314.)

Med Stop next argues that "City has a direct interest in defending the integrity of its investigation." (Demurrer, p. 14, ln. 20.) However, the statutory standard is that the non-party "claims" an interest relating to the subject of the action. Med Stop merely speculates that City wants or needs to defend the integrity of its investigation, which is not being questioned or contested in this action.

The court in *Van Zant v. Apple Inc.* (2014) 229 Cal.App.4th 965 (*Van Zant*), reversed a demurrer for failure to join a purportedly necessary party quoting the following statement from a federal opinion, “[t]he mere fact [...] that Party A, in a suit against Party B, intends to introduce evidence that will indicate that a non-party, C, behaved improperly does not, by itself, make C a necessary party.” (*Id.* [citing *Pujol v. Shearson American Exp., Inc.* (1st Cir.1989) 877 F.2d 132, 136].) In *Van Zant* the plaintiff alleged her damages resulted from the defendant’s product and had nothing to do with the non-party’s network. Because a demurrer is determined by the allegations of the complaint, the court found the claims did not implicate the non-party. (*Van Zant*, *supra*, at 978.)

Here, the Complaint alleges that City took action against Rudge based on the false positive test but does not allege City engaged in misconduct or is liable for damages. There is nothing on the face of the complaint that shows City is a necessary party. Complete relief can be accorded and a judgment against only Med Stop would not impair or impede City’s ability to protect its interests or leave Med Stop subject to a substantial risk of incurring double, multiple, or otherwise inconsistent obligations.

5. Ruling

The demurrer on the ground that SLOCEA lacks standing is sustained with leave to amend. The demurrer to the UCL cause of action is also sustained with leave to amend.

The demurrer to Rudge’s negligence cause of action is overruled. The demurrer based on failure to join a necessary or indispensable party is overruled.

Plaintiffs are directed to file an amended complaint within fifteen (15) days from service of notice of ruling. Med Stop is directed to serve notice of ruling. (Code Civ. Proc., § 1019.5.)